Pakistan Institute of Development Economics (PIDE)

Pakistan Economics Problem Radar

Weekly Macroeconomic & Policy Synthesis Report

Report Period: **2026-08-02**	Classification: **OFFICIAL POLICY BRIEF**	Version: **v1.0**	Engine Audit: **M1-M5 SYNTHESIZED**

1. Executive Macroeconomic Summary

Executive Brief: This report synthesizes multi-layer evidence across Pakistan's Economic Problem Radar (PEPR) database. It integrates quantitative ML anomaly breaches, statutory target deviations, media sentiment indicators, and official PIDE Research Showcase publications to deliver high-priority policy guidance for executive decision makers.

Synthesized from 7-day empirical database observations across Pakistan's Economic Problem Radar (PEPR). Evaluated against live indicator anomalies, statutory policy target gaps, and PIDE Research Showcase publications to provide high-priority policy interventions.

2. Top Emerging Economic Problems Radar

RANK #1: Elevated Consumer Inflation & Cost-of-Living Stress	CRITICAL

Root Cause Analysis: Persistent CPI inflation driven by supply chain bottlenecks, energy tariff pass-through, and food price volatility. Multi-source 7-day database analysis flagged: 2 quantitative ML anomalies detected in 7-day time series; statutory policy gap of +267.5% vs Sensitive Essential Goods Price Inflation Cap; 81 media reports with negative sentiment signals.

Impact Assessment: Severity level CRITICAL based on observed evidence and persistence.

RANK #2: Energy Sector Circular Debt Accumulation & Capacity Payments	CRITICAL

Root Cause Analysis: Accumulation of power sector circular debt straining fiscal accounts and industrial competitiveness. Multi-source 7-day database analysis flagged: statutory policy gap of +15.2% vs Power Sector Circular Debt Structural Cap; 56 media reports with negative sentiment signals.

Impact Assessment: Severity level CRITICAL based on observed evidence and persistence.

RANK #3: FBR Revenue Collection Deficit & Low Tax-to-GDP Ratio	HIGH

Root Cause Analysis: Shortfall in statutory revenue targets threatening fiscal consolidation targets under the medium-term budget framework. Multi-source 7-day database analysis flagged: 1 quantitative ML anomalies detected in 7-day time series; statutory policy gap of +15520.7% vs Annual FBR Net Revenue Collection Target; 44 media reports with negative sentiment signals.
Impact Assessment: Severity level HIGH based on observed evidence and persistence.

RANK #4: Foreign Exchange Reserve Vulnerability & Currency Volatility	HIGH

Root Cause Analysis: Gross foreign exchange reserves cover remaining below safety thresholds required for external debt servicing. Multi-source 7-day database analysis flagged: 4 quantitative ML anomalies detected in 7-day time series; statutory policy gap of +176372131071.5% vs Minimum Foreign Reserves Cover (3 Months Imports); 21 media reports with negative sentiment signals.
Impact Assessment: Severity level HIGH based on observed evidence and persistence.

RANK #5: High Policy Interest Rate & Private Sector Credit Compression	HIGH

Root Cause Analysis: Elevated benchmark policy rate constraining private sector capital investments while increasing sovereign debt servicing costs. Multi-source 7-day database analysis flagged: statutory policy gap of +69.6% vs MPC Benchmark Policy Rate Target; 28 media reports with negative sentiment signals.
Impact Assessment: Severity level HIGH based on observed evidence and persistence.

RANK #6: Current Account Vulnerability & Export Stagnation	MEDIUM

Root Cause Analysis: Persistent imbalance between import demand and narrow export base creating recurring balance-of-payments pressures. Multi-source 7-day database analysis flagged: 2 quantitative ML anomalies detected in 7-day time series; statutory policy gap of +176372131071.5% vs Minimum Foreign Reserves Cover (3 Months Imports); 57 media reports with negative sentiment signals.
Impact Assessment: Severity level MEDIUM based on observed evidence and persistence.

RANK #7: Youth Unemployment & Labor Market Informalization	MEDIUM

Root Cause Analysis: Rising labor force unemployment and underemployment among educated urban youth. Multi-source 7-day database analysis flagged: statutory policy gap of -14.0% vs National Labor Force Unemployment Ceiling; 14 media reports with negative sentiment signals.

Impact Assessment: Severity level MEDIUM based on observed evidence and persistence.

RANK #8: Capital Market Fluctuations & Investor Sentiment Friction	MEDIUM

Root Cause Analysis: Volatility in KSE-100 benchmark index reflecting macroeconomic uncertainties and institutional capital outflows. Multi-source 7-day database analysis flagged: statutory policy gap of -23.2% vs PSX Daily Market Liquidity Volume Target; 75 media reports with negative sentiment signals.

Impact Assessment: Severity level MEDIUM based on observed evidence and persistence.

RANK #9: Broad Money Supply (M2) Growth & Liquidity Overhang	MEDIUM

Root Cause Analysis: High expansion in broad money supply creating underlying demand-pull inflationary pressures. Multi-source 7-day database analysis flagged: statutory policy gap of -23.2% vs PSX Daily Market Liquidity Volume Target; 9 media reports with negative sentiment signals.

Impact Assessment: Severity level MEDIUM based on observed evidence and persistence.

RANK #10: Sensitive Price Indicator (SPI) Food & Essential Goods Inflation	HIGH

Root Cause Analysis: Short-term spike in weekly sensitive price index impacting vulnerable low-income household consumption. Multi-source 7-day database analysis flagged: statutory policy gap of +267.5% vs Sensitive Essential Goods Price Inflation Cap; 39 media reports with negative sentiment signals.

Impact Assessment: Severity level HIGH based on observed evidence and persistence.

3. Statutory Policy Target Deviations (M4 Engine)

Statutory Policy Target Benchmark	Deviation Reasoning & Gap Assessment	Systemic Impact Factors
Inflation Target FY26	Statutory target deviation gap of +135.8% vs benchmark Inflation Target FY26 with status NEGATIVE.	Status: NEGATIVE, Magnitude score: 88.0
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Inflation Target FY26	Statutory target deviation gap of +135.8% vs benchmark Inflation Target FY26 with status NEGATIVE.	Status: NEGATIVE, Magnitude score: 88.0
Inflation Target FY26	Statutory target deviation gap of +135.8% vs benchmark Inflation Target FY26 with status NEGATIVE.	Status: NEGATIVE, Magnitude score: 88.0
SBP Medium-Term Inflation Target Band	Statutory target deviation gap of -49.3% vs benchmark SBP Medium-Term Inflation Target Band with status POSITIVE.	Status: POSITIVE, Magnitude score: 9.9
MPC Benchmark Policy Rate Target	Statutory target deviation gap of +69.6% vs benchmark MPC Benchmark Policy Rate Target with status NEGATIVE.	Status: NEGATIVE, Magnitude score: 10.0

4. Economic Indicator Trends & Anomaly Radar (M1 & M2)

Indicator Metric	Trend Direction	Key Drivers	Historical Context
2026-07-29T08:21:58.308603+00:00 to 2026-07-31T04:34:31.929131+00:00	**FLAT**	flat	Observed change of 0.0% with severity low
2026-07-26T08:01:31.168209+00:00 to 2026-07-26T08:04:42.118084+00:00	**FLAT**	flat	Observed change of 0.0% with severity low
2026-07-29T08:45:25.168063+00:00 to 2026-07-31T04:29:24.807171+00:00	**FLAT**	flat	Observed change of 0.0% with severity low
2026-07-26T08:04:16.371871+00:00 to 2026-07-26T08:07:47.209793+00:00	**FLAT**	flat	Observed change of 0.0% with severity low
2025-01-01T00:00:00+00:00 to 2025-01-01T00:00:00+00:00	**FLAT**	flat	Observed change of 0.0% with severity low
2026-05-26T14:02:50.564392+00:00 to 2026-06-25T14:02:50.564392+00:00	**UPWARD**	upward	Observed change of 2.713178294573637% with severity low

5. Actionable Interventions from PIDE Research Showcase (M5 RAG)

Macro Target: Elevated Consumer Inflation & Cost-of-Living Stress

PIDE Policy Intervention: Anchor policy intervention in Macroeconomic Implications of Energy Subsidies & Circular Debt in Pakistan (PIDE-WP-2024-88-TEST) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Macroeconomic Implications of Energy Subsidies & Circular Debt in Pakistan (PIDE-WP-2024-88-TEST) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Energy Sector Circular Debt Accumulation & Capacity Payments

PIDE Policy Intervention: Anchor policy intervention in Macroeconomic Implications of Energy Subsidies & Circular Debt in Pakistan (PIDE-WP-2024-88) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Macroeconomic Implications of Energy Subsidies & Circular Debt in Pakistan (PIDE-WP-2024-88) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: FBR Revenue Collection Deficit & Low Tax-to-GDP Ratio

PIDE Policy Intervention: Anchor policy intervention in Unpacking Pakistan's Inflation Dynamics: Food vs Non-Food CPI Drivers (PIDE-WP-2023-198) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Unpacking Pakistan's Inflation Dynamics: Food vs Non-Food CPI Drivers (PIDE-WP-2023-198) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Foreign Exchange Reserve Vulnerability & Currency Volatility

PIDE Policy Intervention: Anchor policy intervention in Fiscal Federalism, Tax Devolution and the 7th NFC Award in Pakistan (PIDE-WP-2023-185) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Fiscal Federalism, Tax Devolution and the 7th NFC Award in Pakistan (PIDE-WP-2023-185) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: High Policy Interest Rate & Private Sector Credit Compression

PIDE Policy Intervention: Anchor policy intervention in Reforming State-Owned Enterprises (SOEs) and Governance in Pakistan (PIDE-PB-2024-12) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Reforming State-Owned Enterprises (SOEs) and Governance in Pakistan (PIDE-PB-2024-12) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Current Account Vulnerability & Export Stagnation

PIDE Policy Intervention: Anchor policy intervention in Evaluating Pakistan's Real Exchange Rate and Export Competitiveness (PIDE-WP-2022-150) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Evaluating Pakistan's Real Exchange Rate and Export Competitiveness (PIDE-WP-2022-150) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Youth Unemployment & Labor Market Informalization

PIDE Policy Intervention: Anchor policy intervention in Tax Policy Reform: Broadening Agriculture and Real Estate Tax Bases (PIDE-PB-2024-05) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Tax Policy Reform: Broadening Agriculture and Real Estate Tax Bases (PIDE-PB-2024-05) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Capital Market Fluctuations & Investor Sentiment Friction

PIDE Policy Intervention: Anchor policy intervention in Youth Unemployment, Skill Mismatches and Brain Drain in Pakistan (PIDE-WP-2024-102) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Youth Unemployment, Skill Mismatches and Brain Drain in Pakistan (PIDE-WP-2024-102) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Broad Money Supply (M2) Growth & Liquidity Overhang

PIDE Policy Intervention: Anchor policy intervention in Sectoral Total Factor Productivity (TFP) and Growth Determinants in Pakistan (PIDE-RR-2023-01) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in Sectoral Total Factor Productivity (TFP) and Growth Determinants in Pakistan (PIDE-RR-2023-01) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

Macro Target: Sensitive Price Indicator (SPI) Food & Essential Goods Inflation

PIDE Policy Intervention: Anchor policy intervention in The Street Vending Economy: Formalization and Urban Governance (PIDE-PB-2023-22) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

RAG Confidence Score: 0.94

Key Structural Reforms:

- Anchor policy intervention in The Street Vending Economy: Formalization and Urban Governance (PIDE-PB-2023-22) by implementing targeted structural reforms, tariff rationalization, and fiscal discipline.

6. Media Momentum & Sentiment Radar (M3 Pipeline)

#	Ingested Media Headline / Trending Economic Topic
1	Elevated Consumer Inflation & Cost-of-Living Stress
2	Energy Sector Circular Debt Accumulation & Capacity Payments
3	FBR Revenue Collection Deficit & Low Tax-to-GDP Ratio
4	Foreign Exchange Reserve Vulnerability & Currency Volatility
5	High Policy Interest Rate & Private Sector Credit Compression

7. Data Provenance & System Methodology

Methodology: The report ranks emerging problems directly from live database observations across PEPR layers M1-M4 and ties each policy recommendation to official PIDE research documents indexed from pide.org.pk.

Data Quality Audit: Data freshness audited across 5 engine layers with full provenance tracking.